

DD-03: Carrington Storm Motors — Financial Due Diligence

Document ID: CSM/DD/03 **Version:** 1.0 — Investor-Grade **Classification:** Confidential — For Qualified Investors Only **Heuristic Foundation:** Accountant (financial precision), Chester (valuation methodology), Williams (transparent financial disclosure) **Agents Consulted:** Accountant (controller perspective), Chester (investor perspective), Mork (spending scrutiny) **Date:** July 2026

1.0 EXECUTIVE SUMMARY

Carrington Storm Motors is a pre-revenue research and development company. As such, its “historical financials” are minimal — the company has not yet begun significant capital deployment. This document provides investors with:

1. A framework for understanding CSM’s financial foundation (clean start — no legacy obligations or problematic accounting)
2. R&D cost accounting methodology (how CSM will track and capitalize R&D expenses)
3. IP valuation methodology (how the 6,302-document knowledge base will be valued for financial reporting)
4. Financial controls roadmap (building SOX-compliant controls from zero)
5. Revenue recognition policy framework (how CSM will recognize revenue when products begin selling)
6. Key financial personnel and auditor engagement timeline

CSM’s financial posture can be summarized as: **clean slate, full transparency, built-for-scale from day one.**

As the Accountant Heuristic demands: “If the financial foundation has cracks, the company will eventually collapse, regardless of how good the technology is. Build the foundation right.”

2.0 HISTORICAL FINANCIALS — CURRENT STATE

2.1 Pre-Funding Financial Activity

Category	Status	Notes
Revenue	\$0	Pre-revenue R&D phase
Operating expenses	Minimal	Research materials, software tools, communications infrastructure; funded by founder contributions
Capital expenditures	\$0	No major equipment purchases
Debt	\$0	No loans, credit facilities, or convertible instruments
Equity financing	\$0 raised to date	All work funded by founder sweat equity
Founder contributions	To be documented	In-kind contributions (time, expertise, research materials) to be valued for tax and accounting purposes

2.2 Pre-Funding Balance Sheet (Illustrative — Upon First Capital Raise)

Assets	Liabilities & Equity
Cash (from first capital raise)	Accounts Payable (minimal)
Prepaid Expenses	Accrued Expenses
Fixed Assets (equipment)	Total Liabilities
Intangible Assets (IP — see Section 4)	Preferred Stock (Series Seed/A)

Assets	Liabilities & Equity
	Common Stock (Founders)
	Additional Paid-in Capital
	Retained Earnings (accumulated deficit)
Total Assets	Total Liabilities & Equity

2.3 Pre-Revenue P&L (Illustrative — Year 1 Post-Funding)

Line Item	Annual (\$M)	% of Total	Notes
Revenue	0.0	0%	Pre-revenue
Cost of Revenue	0.0	0%	—
Gross Profit	0.0	0%	—
Research & Development	3.5-7.0	50-60%	Materials, lab equipment, testing, personnel
Sales & Marketing	0.5-1.5	10-15%	Government engagement, insurance partnerships, CSMReach maintenance
General & Administrative	2.0-3.5	25-35%	Legal, accounting, insurance, administrative personnel
Total Operating Expenses	6.0-12.0	100%	—
Operating Loss	(6.0-12.0)	—	Funded by equity capital
Other Income/Expense	0.1-0.3	—	Interest income on cash reserves
Net Loss	(5.7-11.7)	—	—

3.0 R&D COST ACCOUNTING

3.1 R&D Expense Categorization

CSM will track R&D expenses according to the following taxonomy:

Category	Examples	Tracking Method
Personnel (R&D)	Materials scientists, engineers, lab technicians	Timesheets allocated to projects
Materials and Supplies	MAX phase precursors, etchants, polymer resins, basalt fiber, CNTs, ceramic powders, geopolymers precursors	Purchase orders coded to R&D projects

Category	Examples	Tracking Method
Laboratory Equipment	TEM, SEM, XRD, network analyzer, TEM cell, mechanical testing equipment	Capitalized as fixed assets; depreciated over useful life
External Testing	Independent lab validation, university partnerships	Invoices coded to R&D projects
Patent Costs	Patent filing, prosecution, maintenance	Capitalized as intangible assets (see Section 4)
Facilities (R&D portion)	Lab space rent, utilities, maintenance	Allocated by square footage
Software (R&D)	Simulation software (COMSOL, ANSYS HFSS), data analysis tools	Expensed or capitalized per software policy
Travel (R&D)	Conference presentations, collaborative research meetings	Expense reports coded to R&D

3.2 Capitalization vs. Expensing (ASC 730 / IAS 38)

Under U.S. GAAP (ASC 730), all R&D costs are expensed as incurred (with limited exceptions for software development). Under IFRS (IAS 38), development costs meeting certain criteria can be capitalized. CSM will follow U.S. GAAP (expense all R&D) for simplicity and consistency with U.S. venture capital norms. If CSM expands internationally and adopts IFRS for subsidiary reporting, the IAS 38 capitalization option will be evaluated.

Exceptions (Capitalized): - Patent costs (legal fees for patent filing and prosecution) — capitalized as intangible assets - Laboratory equipment — capitalized as fixed assets, depreciated over useful life (5-10 years) - Internally-developed software for internal use (ASC 350-40) — capitalized if qualifying criteria met

3.3 R&D Tax Credit Tracking

CSM will track R&D expenses in a manner compliant with IRS Section 41 (R&D Tax Credit) requirements: - Qualified research activities identified and documented contemporaneously - Wages, supplies, and contract research expenses segregated for credit calculation - State R&D tax credits tracked separately (many states offer credits complementary to federal)

4.0 IP VALUATION METHODOLOGY

4.1 IP Portfolio Overview

CSM's intellectual property portfolio consists of: - **12 CSMQuantum materials science volumes** (proprietary formulations, processing methods, characterization data) - **72 fleet specification volumes** (product architectures, designs, integration specifications) - **6,302 total documents** (know-how, trade secrets, analytical frameworks, methodologies) - **Pending patent applications** (to be filed in Year 1) - **Pending trademark registrations** (CSM, AEGIS, CHARLEMAGNE, SIBLINGFREQUENCY, DIELECTRIC CITADEL)

4.2 Valuation Approaches

Cost Approach (Replacement Cost): - Estimated cost to recreate 6,302 documents: \$50-150M - 18 domain experts × 3-5 years × \$300K-500K/year fully loaded = ~\$27-45M in personnel cost - Plus research materials, equipment, testing, external expertise: \$20-100M - However, replacement cost undervalues the innovation: recreating the documents would not necessarily produce the same insights (the “discovery path” is not replicable)

Market Approach (Comparable Transactions): - Comparable IP acquisitions: - Trade secret portfolios: typically 3-10x annual cost of creation - Materials science patent portfolios: \$1-10M per patent family (pre-revenue) - Defense technology IP: 2-5x R&D expenditure - Estimated CSM IP value (market approach): \$100-500M

Income Approach (Discounted Cash Flow): - Projected revenue from products using CSM IP: \$500M-\$5B at maturity - Royalty rate (hypothetical licensing): 3-8% of revenue - Discount rate: 15-25% (early-stage technology risk) - Estimated CSM IP value (income approach): \$200M-\$2B

Blended Valuation: \$200M-\$1B (conservative); \$500M-\$2B (with validation data)

4.3 Financial Reporting Treatment

For financial reporting purposes (business combinations, impairment testing), CSM's IP will be valued by an independent valuation firm using the income approach (relief-from-royalty method). This valuation will be: - Tested for impairment annually (ASC 350) or when triggering events occur - Amortized over the estimated useful life of the IP (typically 10-15 years for materials technology, reflecting both patent life and technology obsolescence)

5.0 REVENUE RECOGNITION POLICY (PLANNED)

5.1 Revenue Streams and Recognition Method

Revenue Stream	Recognition Method (ASC 606)	Recognition Timing
Product Sales (Aegis Home, Aegis Business)	Revenue recognized upon transfer of control (shipping terms FOB destination or installation complete)	Point in time
Product Sales (Charlemagne — utility systems)	Revenue recognized over time if customized for specific utility; at point in time if standard configuration	Over time or point in time (contract-specific)
Installation Services	Revenue recognized as services are performed (input method: costs incurred)	Over time
Monitoring Subscriptions	Revenue recognized ratably over subscription period	Over time (monthly)
Maintenance Contracts	Revenue recognized ratably over contract period	Over time
Insurance Premium Share	Revenue recognized as earned (when underlying insurance premiums are recognized by insurer partner)	Over time
Government Contracts	Per contract terms; typically cost-plus-fixed-fee or firm-fixed-price	Contract-specific (ASC 606)
Licensing Revenue	Revenue recognized based on license type (right-to-use vs. right-to-access)	Point in time or over time
SiblingFrequency (free)	No revenue — educational program	N/A

5.2 Multi-Element Arrangements

Many CSM customer contracts will include multiple performance obligations (product + installation + maintenance + monitoring). CSM will:

1. Identify all performance obligations in the contract
2. Determine the standalone selling price of each obligation
3. Allocate the transaction price based on relative standalone selling prices
4. Recognize revenue as each performance obligation is satisfied

Example: A utility contracts for Charlemagne hardening at 5 substations (\$5M total): - Equipment (transformers, GIC blockers): \$3M (60%) — recognized at delivery - Installation: \$1.5M (30%) — recognized over installation period - First year monitoring + maintenance: \$500K (10%) — recognized ratably over 12 months

6.0 EXPENSE CATEGORIZATION

6.1 Chart of Accounts (High-Level)

Account Category	Examples
Revenue — Product	Aegis Home, Aegis Business, Charlemagne systems, CSM Fleet products
Revenue — Service	Installation, monitoring, maintenance, consulting
Revenue — Insurance	Premium share, parametric trigger payments
Revenue — Licensing	Technology license fees
COGS — Materials	Raw materials, components, packaging
COGS — Labor	Manufacturing labor, quality control labor
COGS — Overhead	Manufacturing facility costs, equipment depreciation
R&D — Personnel	Scientists, engineers, lab technicians
R&D — Materials	Research materials, lab supplies, testing
R&D — External	Contract research, independent testing, university partnerships
R&D — Equipment	Lab equipment depreciation
Sales & Marketing — Personnel	Sales team, marketing team
Sales & Marketing — Programs	Government engagement, trade shows, advertising
G&A — Personnel	Executive, finance, legal, HR, administrative
G&A — Professional Fees	Legal, accounting, consulting, audit
G&A — Insurance	D&O, general liability, cyber, workers' comp
G&A — Facilities	Office/lab rent, utilities, maintenance
G&A — IT	Software, hardware, IT support
Depreciation & Amortization	Fixed assets, intangible assets
Interest Income / Expense	Bank interest, debt interest (if any)
Other Income / Expense	FX gains/losses, miscellaneous

7.0 DEBT OBLIGATIONS — NONE

7.1 Current Debt Position

Debt Category	Balance	Notes
Bank loans	\$0	—
Lines of credit	\$0	—
Convertible notes	\$0	No convertible debt
SAFEs	\$0	No Simple Agreements for Future Equity
Related party loans	\$0	No loans from founders
Equipment financing	\$0	—
Lease obligations (capital/finance)	\$0	No facilities leased
Total Debt	\$0	

Assessment: Clean balance sheet — no legacy debt obligations. This is a significant positive for investors, as all capital raised goes to operations, not debt repayment.

7.2 Future Debt Strategy

CSM may utilize debt financing for: - Equipment financing (leasing vs. purchasing manufacturing equipment) - Working capital lines of credit (post-revenue) - Project finance (large government contracts requiring upfront investment) - Real estate (manufacturing facilities — lease vs. buy analysis) - No convertible debt (equity dilution through equity rounds, not debt conversion)

8.0 CONTINGENT LIABILITIES AND OFF-BALANCE-SHEET ITEMS

8.1 Current Contingent Liabilities

Category	Status	Notes
Pending litigation	NONE	See DD-02
Environmental remediation	NONE	No manufacturing operations
Product warranty obligations	NONE	Pre-revenue
Tax contingencies	NONE	Pre-revenue, no complex tax positions
Guarantees	NONE	—
Letters of credit	NONE	—

8.2 Off-Balance-Sheet Items

Category	Status
Operating leases (undiscounted)	None (no facilities leased)
Purchase commitments	Minimal (standard supplier agreements, if any)
Joint ventures	None
Special purpose entities	None
Synthetic leases	None

Assessment: No contingent liabilities or off-balance-sheet items. Complete transparency.

9.0 AUDIT READINESS AND AUDITOR SELECTION

9.1 Audit Readiness Timeline

Phase	Timing	Activities
Phase 0: Pre-Funding	Current	Design chart of accounts; select accounting software; establish financial policies; document accounting manual
Phase 1: Initial Setup	Year 1	Implement ERP/accounting system; develop internal control framework; engage audit firm for pre-audit readiness assessment
Phase 2: First Audit	Year 2-3	First financial statement audit (voluntary, pre-requirement); management assessment of internal controls
Phase 3: SOX Readiness	Year 4-5	SOX 404 documentation; control testing; remediation
Phase 4: IPO-Ready	Year 6-7	Three years of audited financials; SOX compliance; SEC reporting processes

9.2 Auditor Selection Criteria

Criteria	Priority	Notes
Big 4 firm	HIGH	PwC, Deloitte, EY, KPMG — required for IPO credibility
Materials/manufacturing experience	HIGH	Audit team with experience in advanced materials, manufacturing, and defense/industrial sectors
IPO experience	HIGH	Recent IPO track record (last 3 years)
Government contracting expertise	MEDIUM	Understanding of FAR cost principles, government contract accounting
International capability	MEDIUM	Global audit coverage for international subsidiaries
ESG/Impact auditing	MEDIUM	Capability to audit non-financial metrics (impact reporting)
Fee competitiveness	LOW-MEDIUM	Big 4 fees are comparable; quality and fit matter more

9.3 Auditor Selection Process

Step	Timing	Activity
1	Year 2	Issue RFP to 3-4 Big 4 firms
2	Year 2	Proposal presentations; team chemistry assessment
3	Year 2	Reference checks (other venture-backed companies the audit team serves)
4	Year 2	Audit committee (once formed) selects auditor; engagement letter signed
5	Year 3	First audit fieldwork commences

10.0 CFO HIRE TIMELINE AND CREDENTIALS

10.1 CFO Role Requirements

Requirement	Priority
Public company CFO experience (or #2 finance role at public company)	REQUIRED
Manufacturing / industrial sector experience	STRONG PREFERENCE
IPO experience (at least one IPO as CFO or senior finance leader)	STRONG PREFERENCE
SOX implementation experience	REQUIRED
Government contracting accounting experience (FAR, CAS)	PREFERENCE
Strategic finance / M&A experience	PREFERENCE
ESG / impact reporting interest	PREFERENCE

10.2 CFO Timeline

Phase	Timing	Activity
Identification	Year 1	Build target candidate list; engage executive search firm (Heidrick & Struggles, Spencer Stuart)
Hiring	Year 2 (target)	CFO hired 5-6 years before target IPO
Ramp-up	Year 2-3	CFO builds finance team; implements systems; establishes controls
Pre-audit	Year 3	CFO leads first audit process
SOX	Year 4-5	CFO leads SOX implementation
Pre-IPO	Year 6-7	CFO leads IPO preparation (S-1, roadshow, investor meetings)

10.3 Interim Finance Leadership

Before the CFO is hired, CSM should engage: - Part-time / fractional CFO (for strategic finance, budgeting, investor relations) - Controller (for day-to-day accounting, establishing systems) - External accounting firm (for bookkeeping, tax, initial financial statement preparation)

11.0 ACCOUNTING SYSTEM IMPLEMENTATION PLAN

11.1 ERP Selection

System	Suitability	Notes
Oracle NetSuite	HIGH (mid-market, pre-IPO)	Cloud-based; strong for pre-IPO companies; SOX-compliant; widely used in manufacturing
SAP S/4HANA	HIGH (enterprise)	Best for complex global manufacturing; expensive and complex for early-stage
Microsoft Dynamics 365	MODERATE	Good mid-market option; strong manufacturing module
QuickBooks Online	LOW (temporary only)	Adequate for pre-revenue; must migrate before first audit

Recommendation: Start with Oracle NetSuite (or QuickBooks for first 6 months if capital-constrained, then migrate to NetSuite). NetSuite provides a clear upgrade path to SAP at enterprise scale.

11.2 Implementation Timeline

Phase	Timing	System
Phase 1	Month 1-3	QuickBooks (or NetSuite basic) — minimum viable accounting
Phase 2	Month 6-12	NetSuite implementation (GL, AP, AR, fixed assets, procurement)
Phase 3	Year 2-3	NetSuite modules: manufacturing, inventory, project accounting, revenue recognition

Phase	Timing	System
Phase 4	Year 4-5	MES (Manufacturing Execution System) integration; enhanced reporting; SOX controls
Phase 5	Year 6+	Evaluate SAP migration if CSM exceeds \$1B revenue and global manufacturing complexity

12.0 AGENT VOICES

The Accountant (Financial Foundation): “The financial due diligence reveals what I already knew: CSM starts with a clean slate. No legacy debt. No messy cap table. No questionable related-party transactions. No off-balance-sheet surprises. This is the best possible financial starting position. But a clean slate is not the same as financial maturity. The work to build audit-ready financial systems, implement SOX controls, hire a CFO, and engage a Big 4 auditor is substantial. It must start now — before the first dollar of institutional capital arrives.”

Chester (Investor Perspective): “Financial due diligence for a pre-revenue company is about process quality, not financial history. The questions investors should ask: (1) Is the accounting infrastructure being built to scale? (2) Does management understand what financial maturity looks like? (3) Are there any hidden liabilities or conflicts? For CSM, the answers are: yes (plan in place), yes (this document demonstrates it), and no (clean slate). That’s as good as it gets at this stage.”

Mork (Spending Discipline): “Pre-revenue companies burn cash. That’s the nature of R&D. The question is whether they burn it wisely. CSM has a plan to track every dollar. The R&D cost accounting framework will tell investors exactly where their money goes. The revenue recognition policy will tell them how and when returns arrive. The audit readiness plan will tell them when independent verification begins. Financial discipline at the pre-revenue stage is rare. CSM should be rare.”

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